

The McGraw-Hill Companies



Annual Shareholders Meeting

April 27, 2011



“Safe Harbor” Statement Under The Private Securities Litigation Reform Act of 1995

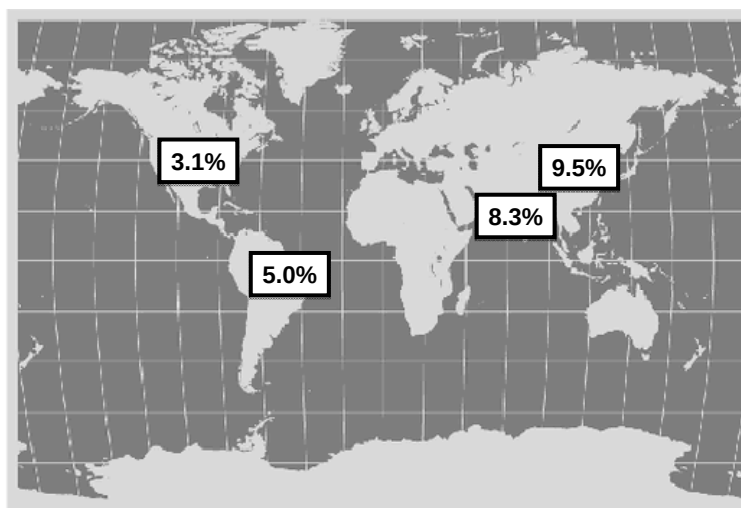
This presentation contains forward-looking statements, including without limitation statements relating to our businesses and our prospects, new products, sales, expenses, tax rates, cash flows, prepublication investments and operating and capital requirements that are made pursuant to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. These forward-looking statements are intended to provide management's current expectations or plans for our future operating and financial performance and are based on assumptions management believes are reasonable at the time they are made. Forward-looking statements can be identified by the use of words such as “believe,” “expect,” “plan,” “estimate,” “project,” “target,” “anticipate,” “intend,” “may,” “will,” “continue” and other words of similar meaning in connection with a discussion of future operating or financial performance. These statements are not guarantees of future performance and involve certain risks, uncertainties and assumptions that are difficult to predict; therefore, actual outcomes and results could differ materially from what is expected or forecasted. These risks and uncertainties include, among others: worldwide economic, financial, political and regulatory conditions; currency and foreign exchange volatility; the effect of competitive products and pricing; the level of success of new product development and global expansion; the level of future cash flows; the levels of capital and prepublication investments; income tax rates; restructuring charges; the health of debt and equity markets, including credit quality and spreads, the level of liquidity and future debt issuances; the level of interest rates and the strength of the capital markets in the U.S. and abroad; the demand and market for debt ratings, including collateralized debt obligations (CDOs), residential and commercial mortgage and asset-backed securities and related asset classes; the state of the credit markets and their impact on S&P and the economy in general; the regulatory environment affecting S&P; the level of merger and acquisition activity in the U.S. and abroad; the level of funding in the education market; School Education Group's level of success in adoptions and open territories; enrollment and demographic trends; the strength of School Education Group's testing market, Higher Education, Professional and International Group's publishing markets and the impact of technology on them; continued investment by the construction, automotive, computer and aviation industries; the strength of the domestic and international advertising markets; the level of political advertising; the strength and performance of the domestic and international automotive markets; the volatility of the energy marketplace; and the contract value of public works, manufacturing and single-family unit construction. We caution readers not to place undue reliance on forward-looking statements.

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Harold McGraw III

Chairman, President and Chief
Executive Officer
The McGraw-Hill Companies

The global economy
is expected to expand 3.7%



Our vision



Inspiring
academic
growth for
students



Robust job
growth for
professionals



Sustainable
financial
growth for
markets



Enduring
economic
growth for
countries

A smarter, better world, where everyone can
succeed in the knowledge economy

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More insights than ever before



From the credit ratings of Standard &
Poor's



To the investment services of the new
McGraw-Hill Financial



To the digital learning technologies of MHE



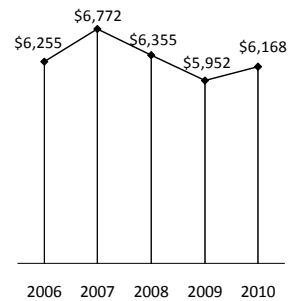
To the business intelligence of I&M brands

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Financial results: Double-digit growth in 2010

- **2010 EPS Growth:
+13.7% to \$2.65**
- **Projected 2011 EPS:
\$2.79 to \$2.89**

Revenue (in millions)



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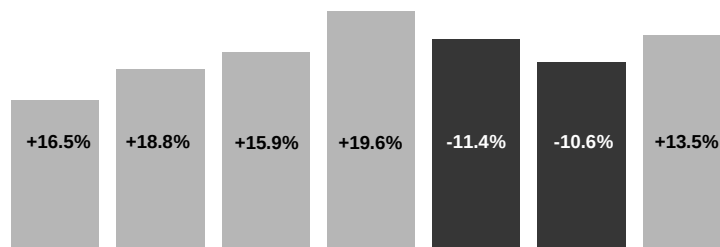
Financial Review

Jack F. Callahan Jr.
Executive Vice President &
Chief Financial Officer

2010 adjusted EPS: 2nd best year ever and return to growth

Adjusted Earnings Per Share

2nd best
year ever!



NOTE: Results throughout this presentation are adjusted to exclude non-recurring items. Adjusted earnings per share and adjusted segment operating profit are non-GAAP financial measures. Reconciliations are provided on our 2/1/2011 and 4/26/11 press releases and are available on our website.

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2010 FY consolidated performance: Strong margin expansion

(\$ in millions)	FY 2010	% Change
Revenue	\$6,168	+3.6%
Segment Expenses	<u>4,568</u>	+0.4%
Adjusted Segment Operating Profit	\$1,601	+14.2%
Segment Profit Margin	25.9%	+240 BPS
Adjusted EPS	\$2.69	+13.5%
Organic Revenue Growth		+5.3%

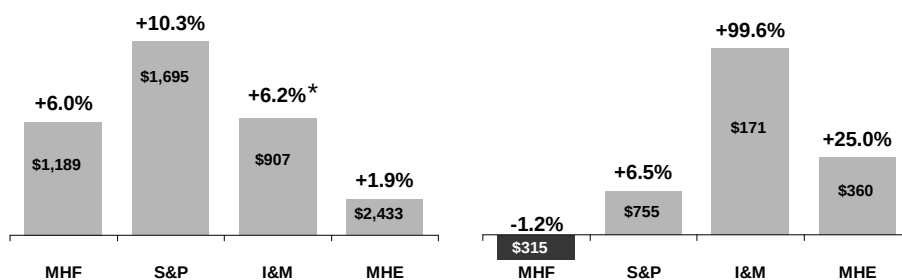
* Excluding the impact of acquisitions/divestitures

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2010 segment results: Robust profit growth

Revenue:
\$6,168 mm +5.3% *

**Adjusted Segment
Operating Profit:**
\$1,601 mm +14.2%



* Excluding the impact of acquisitions/divestitures

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Robust free cash flow

(\$ in millions)

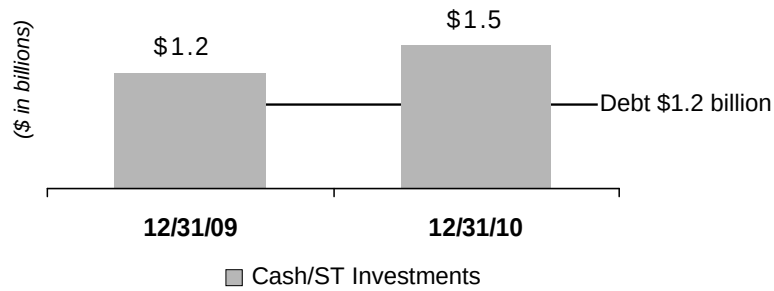
Cash from Operations	\$1,458
Capital Investments	(266)
Cash Flow before Dividends	\$1,192
Dividends*	(311)
Free Cash Flow	\$881
Acquisitions	\$364
Share Repurchases	\$256

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* Includes dividends paid to noncontrolling interests

Strong balance sheet

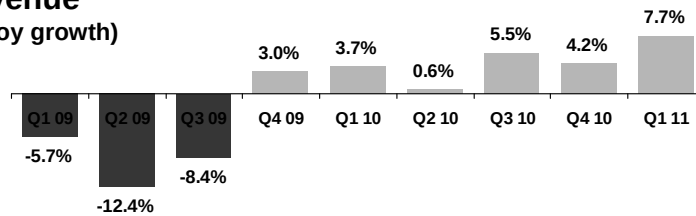
Cash/Debt Balances



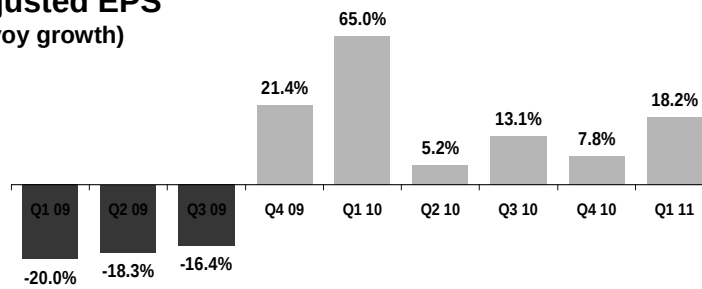
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1Q 2011 financial results: 6th consecutive quarter of growth

Revenue (% yoy growth)



Adjusted EPS (% yoy growth)



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2011 full year: Continued growth

Revenue Guidance: Mid Single-Digit Growth

EPS Guidance: 4% to 7% Growth

Free Cash Flow (after dividends) Guidance:
> \$700 million

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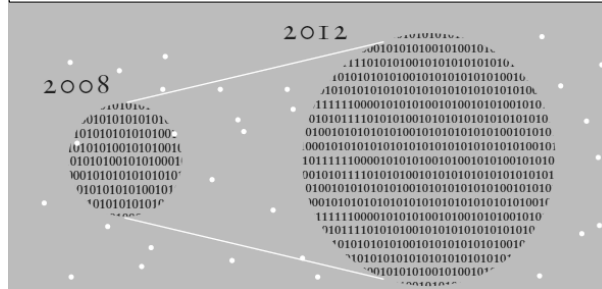
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Harold McGraw III

Chairman, President and Chief
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We are becoming more digital

By 2012, the universe of digital data and information will grow exponentially.



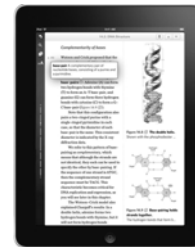
K-12 Digital Art Curriculum



17 S&P CreditMatters Mobile



Dodge Digitized Construction Project Info



Biology on the iPad

We are becoming more global



95%

- Consumers living outside the U.S.



75%

- Economic growth from emerging markets in the next 5 years



- Sales in emerging markets grew 20% in Q1
- International sources accounted for:
 - More than 50% revenue at Platts
 - Nearly 50% of S&P's revenue

Standard & Poor's

- The global economy is growing
- Result:
 - A record year for global high-yield new issuance
 - Greater demand for our ratings



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McGraw-Hill Financial

- \$1.2 billion segment
- Vision for a business that serves investors at all stages of life...

**S&P
INDICES**
Capital IQ
A Division of Standard & Poor's



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McGraw-Hill Education

We see a growing gap between the skills that students are learning in school and the skills that they need to succeed in the knowledge economy.



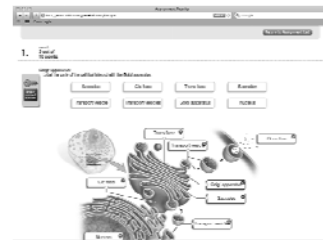
60

- Percent of jobs requiring post-secondary education

21

Digital learning: New frontier of education

We have the opportunity to make education more affordable, more accessible and more adaptive than ever before.



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McGraw-Hill Information & Media

Companies are turning to our brands for real-time information in the fields that will shape the future...

- from automobiles and aviation
- to energy and construction...



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Creating a Smarter, Better World



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